

ORIGINAL

(S E R V E D)
(February 20, 2001)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

DOCKET NO. 99-15

DAVID P. KELLY AND WEST INDIES SHIPPING & TRADING, INC.-
POSSIBLE VIOLATIONS OF THE SHIPPING ACT OF 1984

ORDER TO CEASE AND DESIST, APPROVING
SETTLEMENT AND DISCONTINUING PROCEEDING

BACKGROUND

On August 13, 1999, the Federal Maritime Commission ("Commission") issued an Order of Investigation and Hearing. The Order was issued to determine whether West Indies Shipping & Trading, Inc., a non-vessel-operating common carrier ("NVOCC"), and its president and sole shareholder, David P. Kelly¹, violated sections 8(a) (1), 10(a). (1), 19(a), 19(b) (1), and former section 23(a) (pre-OSRA) of the Shipping Act of 1984 ("Act"), 46 U.S.C. app. §§ 1707 et seq. The Order was amended on June 26, 2000, to address possible violations of section 10(b) (1) of the Act. The Commission's Bureau of Enforcement ("BOE") was designated a party to the proceeding, and the case was assigned to an Administrative Law Judge ("ALJ") .

¹The term "Respondents" refers to "West Indies Shipping" and "Kelly" collectively, unless otherwise differentiated.

Upon completing the discovery phase of the proceeding, BOE and Respondents sought to resolve the proceeding and filed a Joint Memorandum in Support of the Proposed Settlement on January 19, 2001.

The proposed Settlement Agreement ("Agreement") was approved by the ALJ on January 24, 2001, pursuant to 46 C.F.R. § 502.603(a) (1999) and the proceeding was discontinued subject to Commission review pursuant to 46 C.F.R. § 502.227(c) (1999). The parties agreed upon the following terms of settlement:

(1) Respondents shall provide to the Commission a cashier's check payable to the Commission in the sum of \$30,000;

(2) For a period of three years, Kelly shall not operate as an ocean transportation intermediary, or otherwise participate in international ocean transportation in any manner whatsoever, except as an employee of a company conducting such business;

(3) Respondents shall not act as an ocean transportation intermediary without first having a license, a publicly available tariff and a bond for such service as required by law, nor shall Respondents otherwise hold themselves out to provide transportation as a common carrier by water between the United States and a foreign country unless and until a license, a publicly available tariff and a bond for such services are obtained, nor shall Respondents act as an ocean freight forwarder

without first obtaining a license and bond to do so as required by law;

(4) Respondents consent to the entry of an Order by the Commission directing them to cease and desist from engaging in any of the practices enumerated above in paragraphs 2 and 3;

(5) Upon approval of this agreement and the entry of a cease and desist order by the Commission as specified above, FMC Docket No. 99-15 shall be discontinued; and

(6) The Agreement shall become effective upon approval by the Commission in accordance with 46 C.F.R. § 502.603(a) (1999).

DISCUSSION

The Administrative Procedure Act ("APA") requires agencies to give interested parties an opportunity to submit offers of settlement 'when time, the nature of the proceeding, and the public interest permit.' See Joint Req. to Approve Settlement Asreement Granted at 5. The Commission consistently follows the APA's principles that strongly favor settlement. Id. In approving settlement agreements, however, the Commission's concern is that such agreements do not violate law or public policy. See Old Ben Coal Co., 18 S.R.R. 1085, 1093, (Initial Decision, administratively final, November 29, 1978).

With respect to the Commission's enforcement policy, BOE emphasizes the importance of ensuring compliance with the Act by

ocean transportation intermediaries and other regulated parties. Additionally, the instant Agreement will likely have a deterrent effect on the industry. See Joint Mem. in Supp. of the Proposed Settlement at 8.

BOE and Respondents have acknowledged Respondents' admission to violating, *inter alia*, sections 19(a), 19(b)(1), and former section 23(a) of the Act. See Joint Req. to Approve Settlement Agreement Granted at 4. Furthermore, West Indies Shipping is now a defunct corporate entity and Kelly has agreed not to participate in ocean transportation other than as a bona fide employee of a licensed ocean transportation intermediary. The ALJ found the Agreement was entered into in good faith by BOE and Respondents, violated no law or policy, and fulfilled the Commission's enforcement and deterrence policies. The Commission concurs with this finding.

Accordingly, the Commission has determined to issue an Order per the terms of the Agreement directing Respondents to cease and desist from the following:

--For a period of three years, Kelly shall not operate as an ocean transportation intermediary, or otherwise participate in international ocean transportation in any manner whatsoever, except as an employee of a company conducting such business; and

--Respondents shall not act as an ocean transportation

intermediary without first having a license, a publicly available tariff and a bond for such service as required by law, nor shall Respondents otherwise hold themselves out to provide transportation as a common carrier by water between the United States and a foreign country unless and until a license, a publicly available tariff and a bond for such services are obtained, nor shall Respondents act as an ocean freight forwarder without first obtaining a license and bond to do so as required by law.

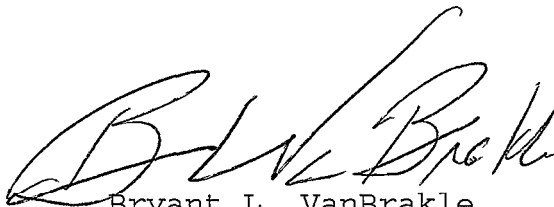
CONCLUSION

THEREFORE, IT IS ORDERED, That the Settlement Agreement is approved.

IT IS FURTHER ORDERED, That Respondents are to cease and desist from engaging in any of the practices as set forth above.

FINALLY, IT IS ORDERED, That the proceeding is discontinued.

By the Commission.


Bryant L. VanBrakle
Secretary